

Journal of Financial Crises

Volume 7 | Issue 2

2025

Lessons Learned: Miguel Carcaño

Mercedes Cardona

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Finance and Financial Management Commons](#), [Law and Economics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Cardona, Mercedes (2025) "Lessons Learned: Miguel Carcaño," *Journal of Financial Crises*: Vol. 7 : Iss. 2, 363-365.

DOI: <https://doi.org/10.17132/2693-3179.1661>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss2/15>

This Lessons Learned is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Yale Program on Financial Stability

Lessons Learned

Miguel Carcaño

By Mercedes Cardona

During the Global Financial Crisis (GFC), Miguel Carcaño served as head of the Spanish Treasury's Fund for Orderly Bank Restructuring, the authority in charge of managing the restructuring process of the country's credit institutions. The fund, known today as the Spanish Executive Resolution Authority, is integrated into the European network led by the Single Resolution Board (SRB) of the European Union's banking union. Carcaño has held a number of posts within the SRB and in 2022 became head of the Single Resolution Fund, the SRB's emergency fund, which serves as backstop for institutions across the banking union's 21 countries. This "Lesson Learned" is based on an interview with Carcaño in March 2024; the full transcript may be found [here](#).

Liquidity is critical to address a crisis, but liquidity by itself is not a solution, unless it also addresses the underlying cause.

Spain's banking system was believed to be safe from the pressures of the GFC because its largest institutions—such as Banco Santander and Banco Bilbao Vizcaya Argentaria (BBVA)—appeared well capitalized. But the country's system of *cajas* (public savings banks) was loaded with consumer loans, many of which fueled a housing bubble that collapsed, leading to substantial debt and deficits. Believing the crisis to be a liquidity event, the Banco de España, Spain's central bank, delayed acting. However, as the European Sovereign Debt Crisis hit the eurozone, the EU offered Spain a EUR 100 billion bailout that required substantial restructuring of its banking sector, which was politically unpopular with the Spanish population. Spanish taxpayers would eventually foot more than EUR 60 billion of the bailout costs, with the European Union (EU) contributing EUR 42 billion.

In commenting on the bailout, Carcaño explained that a crisis response must balance short-term measures to arrest the crisis and halt damage to the banking sector with medium-term objectives of ensuring financial stability and correcting structural weaknesses. It all requires broad political and social support, something that was hard to come by in Spain in 2012, because the measures were very harsh on the real economy.

According to Carcaño, Spain was dealt a "Molotov cocktail" of conditions at the start of the GFC. It faced a "macroeconomic scenario that was extremely weak" at home and across Europe, low fiscal capacity because of ballooning unemployment, and intractable problems in the financial sector from the collapse of the *cajas*.

The Spanish government initially tackled the crisis by facilitating the merger of ailing *cajas* and injected liquidity into the system. But merging institutions that were failing owing to mismanagement and lax oversight only created larger failing institutions. One of the reasons for a liquidity approach, Carcaño said, was that, at the start of the crisis, the Spanish government, the bank supervisor, and the Banco de España lacked the legal framework for resolution to wind down the banks. They managed the crisis as best they could with the

existing tools at their disposal, said Carcaño, “so we did bail in, we did sale of business, we organized the asset management company, et cetera.”

It was only in 2009 that the government established the Fund for Orderly Bank Restructuring (Fondo de Reestructuración Ordenada Bancaria, or FROB) to wind down the failing cajas. The Society to Manage Bank Restructuring Assets (Sociedad de Gestión de Activos Procedentes de la Reestructuración Bancaria, or SAREB), the asset management company established to handle the distressed assets of the banks, would not be established until 2012, under the terms of the memorandum of understanding with the EU.

Once the EU funds were available, “everything changed,” said Carcaño. The Spanish government was able to act and staunch the crisis by absorbing the problem assets from the banks. SAREB was a good tool, Carcaño explained, but it was not cost free.

You have to transfer the assets from the bank’s balance sheet to the so-called bad bank, but there is a need to have a transfer price, and normally this transfer price is extremely low. Someone needs to be there to absorb losses. This is the real problem of the asset management company, that you need to be extremely prudent, because otherwise it won’t be a successful tool. You need to transfer the assets at a fair price, and then the losses appear in the balance sheet of the bank.

I think that at the end of the day, the Spanish authorities did a lot. And it was clearly for me a case that helped me understand what should be done in a crisis. Part of the measures that we took in Spain are now in the resolution regulation that we have now in Europe, which means that something good was done.

The financial system needs a proper backstop to instill confidence and avoid contagion. Without it, the EU’s crisis management scheme is still a work in progress.

When the GFC overwhelmed the cajas, the Spanish government was unwilling to let them fail.

In the wake of the Sovereign Debt Crisis, the European Central Bank now leads a Single Supervisory Mechanism, and the SRB leads a mechanism for orderly bank resolution across the EU, he continued. Additionally, the EU set targets requiring banks to hold a minimum of bail-in-eligible liabilities in case of resolution, which, in his opinion, has helped make insolvency problems less likely.

But political tensions among the 27 member states and moral hazard arguments have delayed creation of a deposit guarantee scheme for the EU’s banking union. As part of the discussions to revise the existing banking union’s Crisis Management and Deposit Insurance Framework directives, the SRB had proposed creating a European Deposit Insurance Scheme, but that proposal also stalled. The European Parliament recently endorsed the measure, but “this is clearly the missing piece of the banking union,” said Carcaño.

The EU’s Single Resolution Fund does offer a safety net, funded by EUR 78 billion collected so far, with an additional EUR 68 billion facility available through the European Stability

Mechanism—an EU-level fiscal backstop fund. These funds can be used to stabilize failing banks, but Carcaño warned it would not be enough to bail out some of the largest European banks.

In a crisis, communicating effectively to various stakeholders is important.

Carcaño summed up his comments by emphasizing the role of communications in crisis fighting. Officials need to be able to go to the public with an authoritative message that they have things in hand and reassure depositors so they don't create a bank run, he emphasized.

It is extremely important to have an effective and a very clear communication on what you have been doing. On Monday morning, you need to be able to give to the market a clear diagnosis. What has happened with this bank? And you need to be able to communicate what solutions or measures you put in place in order to solve the problems. And this has to be communicated to the analysts, to the press, to everyone in order to restore the credibility right from the start. Otherwise, you can put your resolution scheme at risk if you don't communicate properly what you are doing.

Dated: June 2025

YPFS Lessons Learned No. 2024-01